

Systematic Withdrawal Projection

₹5 CRORE INVESTED AT 40 · ₹5 LAKH A MONTH FROM 45 · ILLUSTRATION ONLY

INVESTED	AGE AT ENTRY	WITHDRAWALS FROM	MONTHLY DRAW	ASSUMED RETURN
₹5.00 cr	40	Age 45	₹5.00 L	10.5% p.a.

CORPUS AT AGE 70

₹33.32 cr

after 30 years, 25 of them drawing ₹5 L a month

WITHDRAWN OVER 25 YEARS

₹15.00 cr

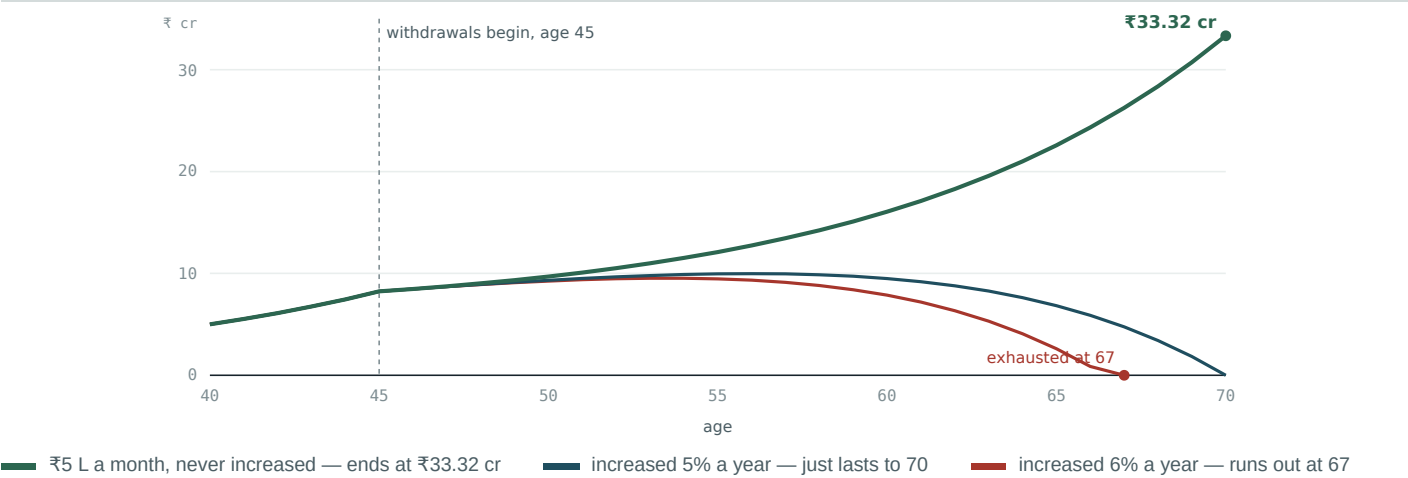
₹60 lakh a year, every year, from 45 to 70

CORPUS PLUS WITHDRAWALS

₹48.32 cr

9.7× the original ₹5 crore

Why it keeps growing — and what breaks it



The projection in five-year steps

AGE	CORPUS	WITHDRAWN TO DATE	CORPUS + WITHDRAWN	MULTIPLE OF ₹5 CR
45	₹8.24 cr	—	₹8.24 cr	1.6×
50	₹9.70 cr	₹3.00 cr	₹12.70 cr	2.5×
55	₹12.10 cr	₹6.00 cr	₹18.10 cr	3.6×
60	₹16.06 cr	₹9.00 cr	₹25.06 cr	5.0×
65	₹22.58 cr	₹12.00 cr	₹34.58 cr	6.9×
70	₹33.32 cr	₹15.00 cr	₹48.32 cr	9.7×

Why the corpus survives

At 45 the ₹5 crore has grown to **₹8.24 crore** untouched. The first year's withdrawal of ₹60 lakh is **7.28% of that**, against an assumed 10.5% return.

The portfolio earns more than is taken out, so it keeps compounding through retirement — slowly at first, then steeply, because the gap between what it earns and what is withdrawn widens every year while the withdrawal stays fixed.

The catch: ₹5 lakh does not stay ₹5 lakh

The green line assumes the withdrawal is **never increased**. At 6% inflation, ₹5 lakh a month in 30 years buys what **₹87,000 buys today** — a loss of 83% of its purchasing power.

Raise the withdrawal to keep pace and the picture changes. At **5% a year** the corpus just lasts to 70 with nothing left. At **6%** it is exhausted at 67. On these assumptions the plan supports roughly a 5% annual increase, not 6%.

Two things that move the answer. This is a **pre-tax** illustration: each SWP instalment is part capital and part gain, and the gain portion attracts capital gains tax, so ₹15 crore of withdrawals will not reach the bank in full. And the monthly compounding convention matters — 10.5% a year is applied here as a true 10.5%. Many calculators divide by twelve instead, which compounds to 11.02% a year and would show ₹42.82 crore rather than ₹33.32 crore for the same inputs.

Illustration prepared for discussion. A constant 10.5% annual return is an assumption used to show the arithmetic of a systematic withdrawal plan; actual returns vary year to year and may be negative. Because money is being withdrawn, the order of returns matters as much as the average — a run of poor early years would materially reduce every figure shown even if the long-run average were met. Figures are pre-tax and before exit load or any fund expense beyond that reflected in the assumed return. This is not a guarantee, a projection of any particular scheme, or a recommendation to invest. Mutual fund investments are subject to market risk; read all scheme-related documents carefully.